MGT511 Contemporary Management

contemporary Management (ESLSCA Business School Paris (Egypt))



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CHAPTER (1)

MANAGEMENT & ORGANIZATIONS

1.1- Why Are Managers Important?

- The first reason managers are important is that organizations need their managerial skills to deal with today's challenges.
- managers play an important role in identifying critical issues and crafting responses.
- They're critical to getting things done. (ensure that all the employees are getting their jobs done so the organization can do what it's in business to do).
- creating organizational value (build loyalty and productivity variables).

1.2- Who Are Managers and Where Do They Work?

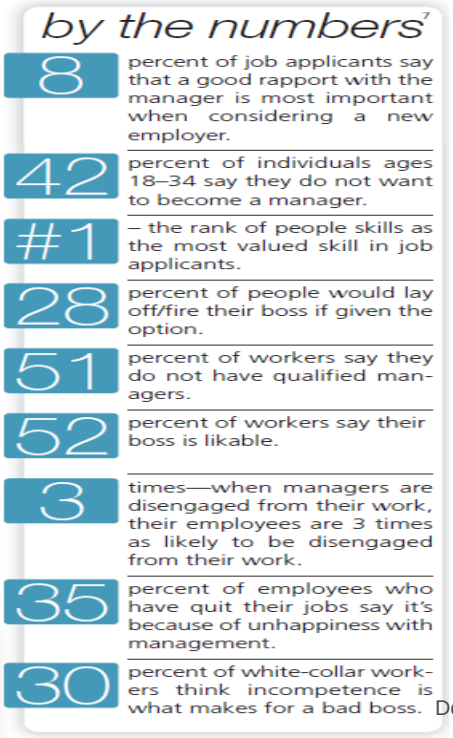
a- Who Is a manager?

- A manager is someone who coordinates and oversees the work of other people.
- A manager's job is not about *personal* achievement, it's about helping *others* do their work.



First-line managers	Middle managers	
manage the work of nonmanagerial employees. *supervisors* or *shift managers*, *district managers*, *department managers*	manage the work of first-line managers. *Regional manager*, *project leader*, *store manager*, or *division manager.*	are responsible for making organization-wide decisions and establishing the plans and goals that affect the entire organization. *executive vice president*, *president*, *managing director*, *chief operating officer*, or *chief executive officer.*

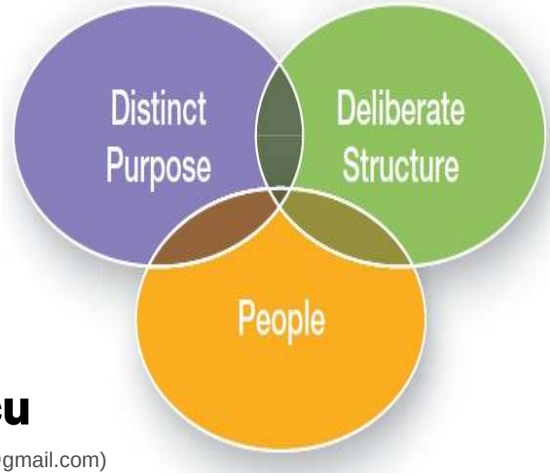
Top managers



b- Where Do Managers Work?

- It's obvious that managers do their work in organizations.
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Organization is a deliberate



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arrangement of people to accomplish some specific purpose. (FLEXIBLE or STRICT)

- organizations have three common characteristics:
  - organization has a distinct purpose.
  - organization is composed of people.
  - organizations develop some deliberate structure within which members do their work.

1.3- What Do Managers Do?

- Management involves coordinating and overseeing the work activities of others so that their activities are completed efficiently and effectively.
- They're concerned with the efficient use of those resources.
- doing work activities that will help the organization reach its goals.
- **Efficiency** refers to getting the most output from the least amount of inputs. (not wasting resources, doing things right)
- **Effectiveness** is often described as "doing the right things".
- Whereas **efficiency** is concerned with the *means* of getting things done, **effectiveness** is concerned with the *ends*, or attainment of organizational goals.



Management Functions



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management
Coordinating and overseeing the work activities of others so that their activities are completed efficiently and effectively

efficiency
Doing things right, or getting the most output from the least amount of inputs

effectiveness
Doing the right things, or completing activities so that organizational goals are attained

planning
Management function that involves setting goals, establishing strategies for achieving those goals, and developing plans to integrate and coordinate activities

organizing
Management function that involves arranging and structuring work to accomplish the organization's goals

leading
Management function that involves working with and through people to accomplish organizational goals

controlling
Management function that involves monitoring, comparing, and correcting work performance

Managerial Roles and a Contemporary Model of Managing:

- The **interpersonal roles** are ones that involve people.
- The **informational roles** involve collecting, receiving, and disseminating information.
- The **decisional roles** entail making decisions or choices.

Interpersonal Roles	Informational Roles	Decisional Roles
• Figurehead	• Monitor	• Entrepreneur
• Leader	• Disseminator	• Disturbance handler
• Liaison	• Spokesperson	• Resource allocator
		• Negotiator

managerial roles
Specific actions or behaviors expected of and exhibited by a manager

interpersonal roles
Managerial roles that involve people and other duties that are ceremonial and symbolic in nature

informational roles
Managerial roles that involve collecting, receiving, and disseminating information

decisional roles
Managerial roles that revolve around making choices

Management Skills

- **Technical skills** are the job specific knowledge and techniques needed to proficiently perform work tasks. These skills tend to be more important for first-line managers because they typically are managing employees who use tools and techniques to produce the organization's products or service the organization's customers.
- **human skills**, which involve the ability to work well with other people both individually and in a group.
- **conceptual skills** are the skills managers use to think and to conceptualize about abstract and complex situations.

technical skills
Job-specific knowledge and techniques needed to proficiently perform work tasks

human skills
The ability to work well with other people individually and in a group

conceptual skills
The ability to think and to conceptualize about abstract and complex situations

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1.4- How Is the Manager's Job Changing?

Change	Impact of Change
Changing Technology (Digitization)	Shifting organizational boundaries Virtual workplaces More mobile workforce Flexible work arrangements Empowered employees Work life–personal life balance
Increased Emphasis on Organizational and Managerial Ethics	Redefined values Rebuilding trust Increased accountability
Increased Competitiveness	Customer service Innovation Globalization Efficiency/productivity
Changing Security Threats	Risk management Uncertainty over future energy sources/prices Restructured workplace Discrimination concerns Globalization concerns Employee assistance Uncertainty over economic climate

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- Managers must create a **customer**-responsive organization where employees are friendly and courteous, accessible, knowledgeable, prompt in responding to customer needs, and willing to do what's necessary to please the customer
- "Nothing is more risky than not innovating.". **Innovation** means doing things differently, exploring new territory, and taking risks.
- Sustainability has been defined as a company's ability to achieve its business goals and increase long-term shareholder value by integrating economic, environmental, and social opportunities into its business strategies.

1.5- Why Study Management?

- The reality that management is needed in all types and sizes of organizations, at all organizational levels, in all organizational areas, and in organizations no matter where located.
- All organizations, no matter where they're located. This is known as **the universality of management.**
- In all these organizations, managers must plan, organize, lead, and control.



The Reality of Work

- When you start your career, you will either manage or be managed.

Rewards and Challenges of Being a Manager

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Rewards	Challenges
• Create a work environment in which organizational members can work to the best of their ability • Have opportunities to think creatively and use imagination • Help others find meaning and fulfillment in work • Support, coach, and nurture others • Work with a variety of people • Receive recognition and status in organization and community • Play a role in influencing organizational outcomes • Receive appropriate compensation in the form of salaries, bonuses, and stock options • Good managers are needed by organizations	• Do hard work • May have duties that are more clerical than managerial • Have to deal with a variety of personalities • Often have to make do with limited resources • Motivate workers in chaotic and uncertain situations • Blend knowledge, skills, ambitions, and and experiences of a diverse work group • Success depends on others' work performance

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Management History Module

1- Early Management

- Management has been practiced a long time. Organized endeavors directed by people responsible for planning, organizing, leading, and controlling activities have existed for thousands of years. Let's look at some of the most interesting examples.

2- Classical Approach

- emphasized rationality and making organizations and workers as efficient as possible. Two major theories comprise the classical approach: scientific management and general administrative theory.
- Taylor's book described the theory of **scientific management**: the use of scientific methods to define the "one best way" for a job to be done.

1. Develop a science for each element of an individual's work to replace the old rule-of-thumb method.
2. Scientifically select and then train, teach, and develop the worker.
3. Heartily cooperate with the workers so as to ensure that all work is done in accordance with the principles of the science that has been developed.
4. Divide work and responsibility almost equally between management and workers. Management does all work for which it is better suited than the workers.

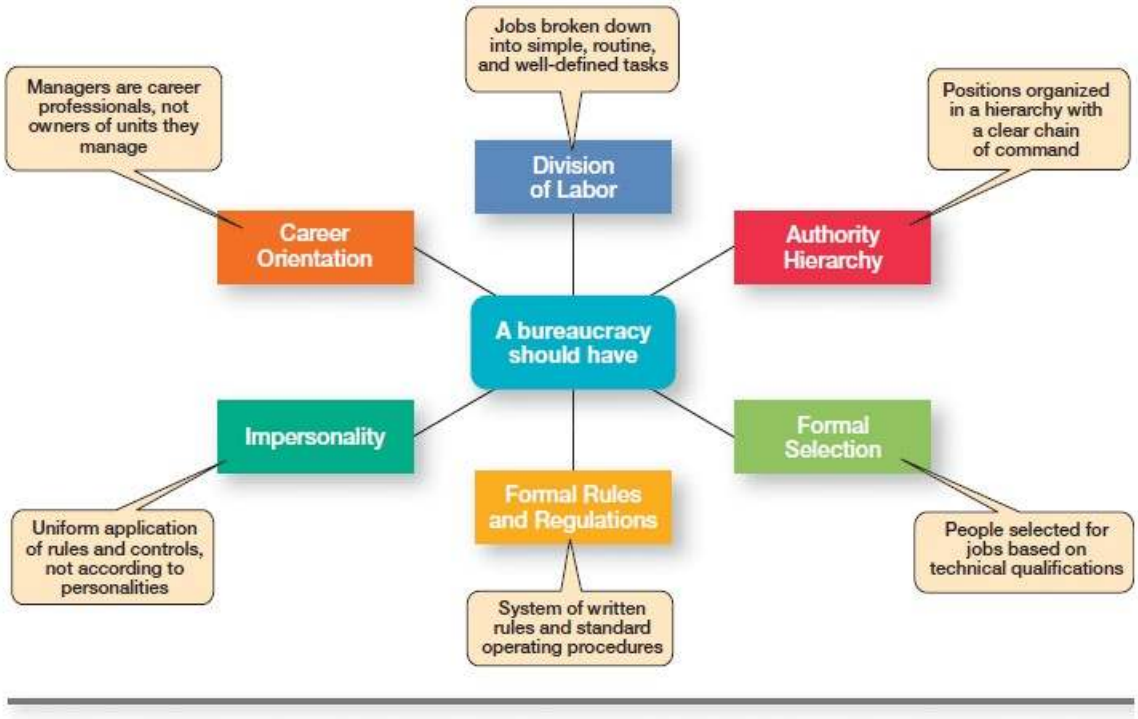
- **General administrative theory** focused more on what managers do and what constituted good management practice.

1. **Division of Work.** Specialization increases output by making employees more efficient.
2. **Authority.** Managers must be able to give orders, and authority gives them this right.
3. **Discipline.** Employees must obey and respect the rules that govern the organization.
4. **Unity of command.** Every employee should receive orders from only one superior.
5. **Unity of direction.** The organization should have a single plan of action to guide managers and workers.
6. **Subordination of individual interests to the general interest.** The interests of any one employee or group of employees should not take precedence over the interests of the organization as a whole.
7. **Remuneration.** Workers must be paid a fair wage for their services.
8. **Centralization.** This term refers to the degree to which subordinates are involved in decision making.
9. **Scalar chain.** The line of authority from top management to the lowest ranks is the scalar chain.
10. **Order.** People and materials should be in the right place at the right time.
11. **Equity.** Managers should be kind and fair to their subordinates.
12. **Stability of tenure of personnel.** Management should provide orderly personnel planning and ensure that replacements are available to fill vacancies.
13. **Initiative.** Employees who are allowed to originate and carry out plans will exert high levels of effort.
14. **Esprit de corps.** Promoting team spirit will build harmony and unity within the organization.

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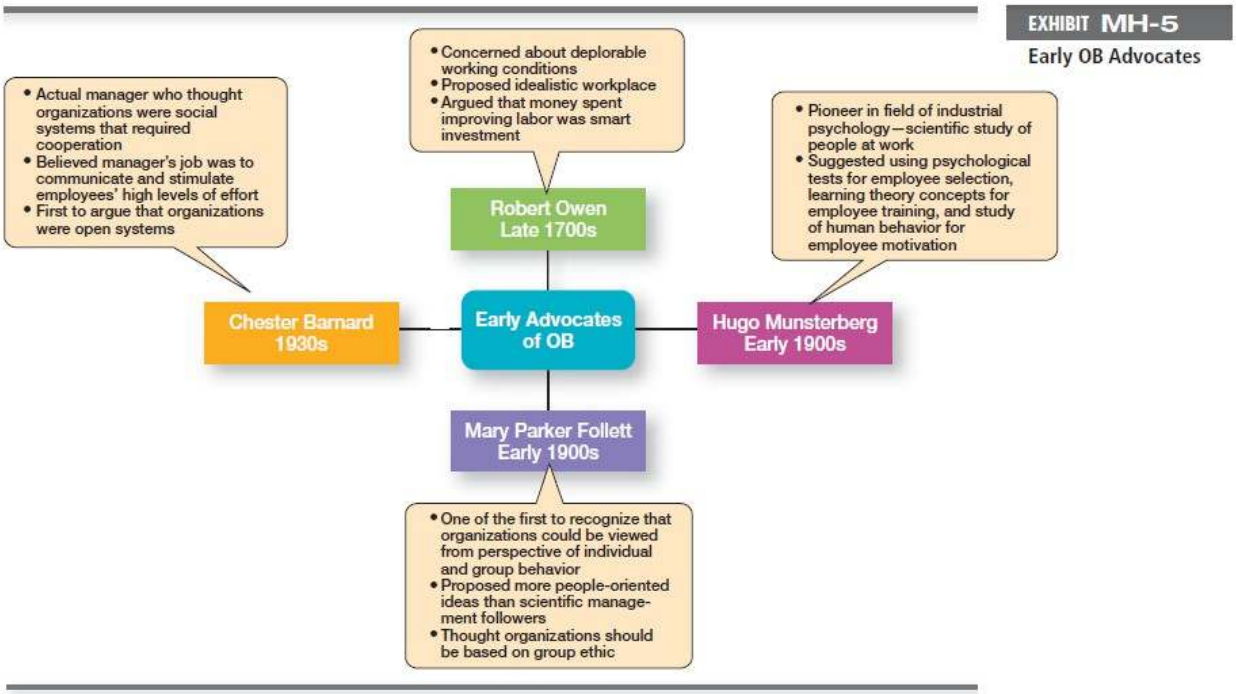
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- **How today's managers use general administrative theory**



3- Behavioral Approach

- The field of study that researches the actions (behavior) of people at work is called organizational behavior (OB). Much of what managers do today when managing people—motivating, leading, building trust, working with a team, managing conflict, and so forth—has come out of OB research.



4- Quantitative Approach

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- **The quantitative approach,** which is the use of quantitative techniques to improve decision making. This approach also is known as *management science.*
- **Total quality management**, or **TQM**, is a management philosophy devoted to continual improvement and responding to customer needs and expectations. The term *customer* includes anyone who interacts with the organization's product or services internally or externally. *Continual improvement* isn't possible without accurate measurements, which require statistical techniques that measure every critical variable in the organization's work processes. These measurements are compared against standards to identify and correct problems.

1. **Intense focus on the customer.** The customer includes outsiders who buy the organization's products or services and internal customers who interact with and serve others in the organization.
2. **Concern for continual improvement.** Quality management is a commitment to never being satisfied. "Very good" is not good enough. Quality can always be improved.
3. **Process focused.** Quality management focuses on work processes as the quality of goods and services is continually improved.
4. **Improvement in the quality of everything the organization does.** This relates to the final product, how the organization handles deliveries, how rapidly it responds to complaints, how politely the phones are answered, and the like.
5. **Accurate measurement.** Quality management uses statistical techniques to measure every critical variable in the organization's operations. These are compared against standards to identify problems, trace them to their roots, and eliminate their causes.
6. **Empowerment of employees.** Quality management involves the people on the line in the improvement process. Teams are widely used in quality management programs as empowerment vehicles for finding and solving problems.

5- Contemporary Approaches

- Management researchers began to look at what was happening in the external environment *outside* the boundaries of the organization. Two contemporary management perspectives—systems and contingency—are part of this approach.
- A **system** is a set of interrelated and interdependent parts arranged in a manner that produces a unified whole. The two basic types of systems are closed and open.
- **Closed systems** are not influenced by and do not interact with their environment.
- In contrast, **open systems** are influenced by and do interact with their environment.

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division of labor (job specialization)
The breakdown of jobs into narrow and repetitive tasks

industrial revolution
A period during the late eighteenth century when machine power was substituted for human power, making it more economical to manufacture goods in factories than at home

classical approach
First studies of management, which emphasized rationality and making organizations and workers as efficient as possible

scientific management
An approach that involves using the scientific method to find the "one best way" for a job to be done

therbligs
A classification scheme for labeling basic hand motions

general administrative theory
An approach to management that focuses on describing what managers do and what constitutes good management practice

principles of management
Fundamental rules of management that could be applied in all organizational situations and taught in schools

bureaucracy
A form of organization characterized by division of labor, a clearly defined hierarchy, detailed rules and regulations, and impersonal relationships

organizational behavior (OB)
The study of the actions of people at work

Hawthorne Studies
A series of studies during the 1920s and 1930s that provided new insights into individual and group behavior

quantitative approach
The use of quantitative techniques to improve decision making

total quality management (TQM)
A philosophy of management that is driven by continuous improvement and responsiveness to customer needs and expectations

system
A set of interrelated and interdependent parts arranged in a manner that produces a unified whole

closed system
Systems that are not influenced by and do not interact with their environment

open system
Systems that interact with their environment

contingency approach
A management approach that recognizes organizations as different, which means they face different situations (contingencies) and require different ways of managing

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CHAPTER 1 PREPARING FOR: Exams/Quizzes

CHAPTER SUMMARY
by Learning Outcomes

LEARNING OUTCOME 1.1

Explain why managers are important to organizations.

Managers are important to organizations for three reasons. First, organizations need their managerial skills and abilities in uncertain, complex, and chaotic times. Second, managers are critical to getting things done in organizations. Finally, managers contribute to employee productivity and loyalty; the way employees are managed can affect the organization's financial performance; and managerial ability has been shown to be important in creating organizational value.

LEARNING OUTCOME 1.2

Tell who managers are and where they work.

Managers coordinate and oversee the work of other people so that organizational goals can be accomplished. Nonmanagerial employees work directly on a job or task and have no one reporting to them. In traditionally structured organizations, managers can be first-line, middle, or top. In other more loosely configured organizations, the managers may not be as readily identifiable, although someone must fulfill that role.

Managers work in an organization, which is a deliberate arrangement of people to accomplish some specific purpose. Organizations have three characteristics: a distinctive purpose, composed of people, and a deliberate structure. Many of today's organizations are structured to be more open, flexible, and responsive to changes.

LEARNING OUTCOME 1.3

Describe the functions, roles, and skills of managers.

Broadly speaking, management is what managers do and management involves coordinating and overseeing the efficient and effective completion of others' work activities. Efficiency means doing things right; effectiveness means doing the right things.

The four functions of management include planning (defining goals, establishing strategies, and developing plans), organizing (arranging and structuring work), leading (working with and through people), and controlling (monitoring, comparing, and correcting work performance).

Mintzberg's managerial roles include interpersonal, which involve people and other ceremonial/symbolic duties (figurehead, leader, and liaison); informational, which involve collecting, receiving, and disseminating information (monitor, disseminator, and spokesperson); and decisional, which involve making choices (entrepreneur, disturbance handler, resource allocator, and negotiator). Mintzberg's newest description of what managers do proposes that managing is about influencing action, which managers do in three ways: by managing actions directly, by managing people who take action, and by managing information that impels people to take action.

Katz's managerial skills include technical (job-specific knowledge and techniques), human (ability to work well with people), and conceptual (ability to think and express ideas). Technical skills are most important for lower-level managers while conceptual skills are most important for top managers. Human skills are equally important for all managers. Some other managerial skills also identified include managing human capital, inspiring commitment, managing change, using purposeful networking, and so forth.

LEARNING OUTCOME 1.4

Describe the factors that are reshaping and redefining the manager's job.

The changes impacting managers' jobs include global economic and political uncertainties, changing workplaces, ethical issues, security threats, and changing technology. Managers must be concerned with customer service because employee attitudes and behaviors play a big role in customer satisfaction. Managers must also be concerned with innovation because it is important for organizations to be competitive. And finally, managers must be concerned with sustainability as business goals are developed.

LEARNING OUTCOME 1.5

Explain the value of studying management.

It's important to study management for three reasons: (1) the universality of management, which refers to the fact that managers are needed in all types and sizes of organizations, at all organizational levels and work areas, and in all global locations; (2) the reality of work—that is, you will either manage or be managed; and (3) the awareness of the significant rewards (such as, creating work environments to help people work to the best of their ability; supporting and encouraging others; helping others find meaning and fulfillment in work; etc.) and challenges (such as, it's hard work; may have more clerical than managerial duties; have to deal with a variety of personalities; etc.) in being a manager.

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REVIEW AND DISCUSSION QUESTIONS



1. How do managers differ from nonmanagerial employees?
2. Is your course instructor a manager? Discuss in terms of managerial functions, managerial roles, and skills.
3. "The manager's most basic responsibility is to focus people toward performance of work activities to achieve desired outcomes." What's your interpretation of this statement? Do you agree with it? Why or why not?
4. Explain the universality of management concept. Does it still hold true in today's world? Why or why not?
5. Is business management a profession? Why or why not? Do some external research in answering this question.
6. Is there one best "style" of management? Why or why not?
7. Does the way that contemporary organizations are structured appeal to you? Why or why not?
8. In today's environment, which is more important to organizations—efficiency or effectiveness? Explain your choice.
9. Researchers at Harvard Business School found that the most important managerial behaviors involve two fundamental things: enabling people to move forward in their work and treating them decently as human beings. What do you think of these two managerial behaviors? What are the implications for someone, like yourself, who is studying management?
10. "Management is undoubtedly one of humankind's most important inventions." Do you agree with this statement? Why or why not?

REVIEW AND DISCUSSION QUESTIONS



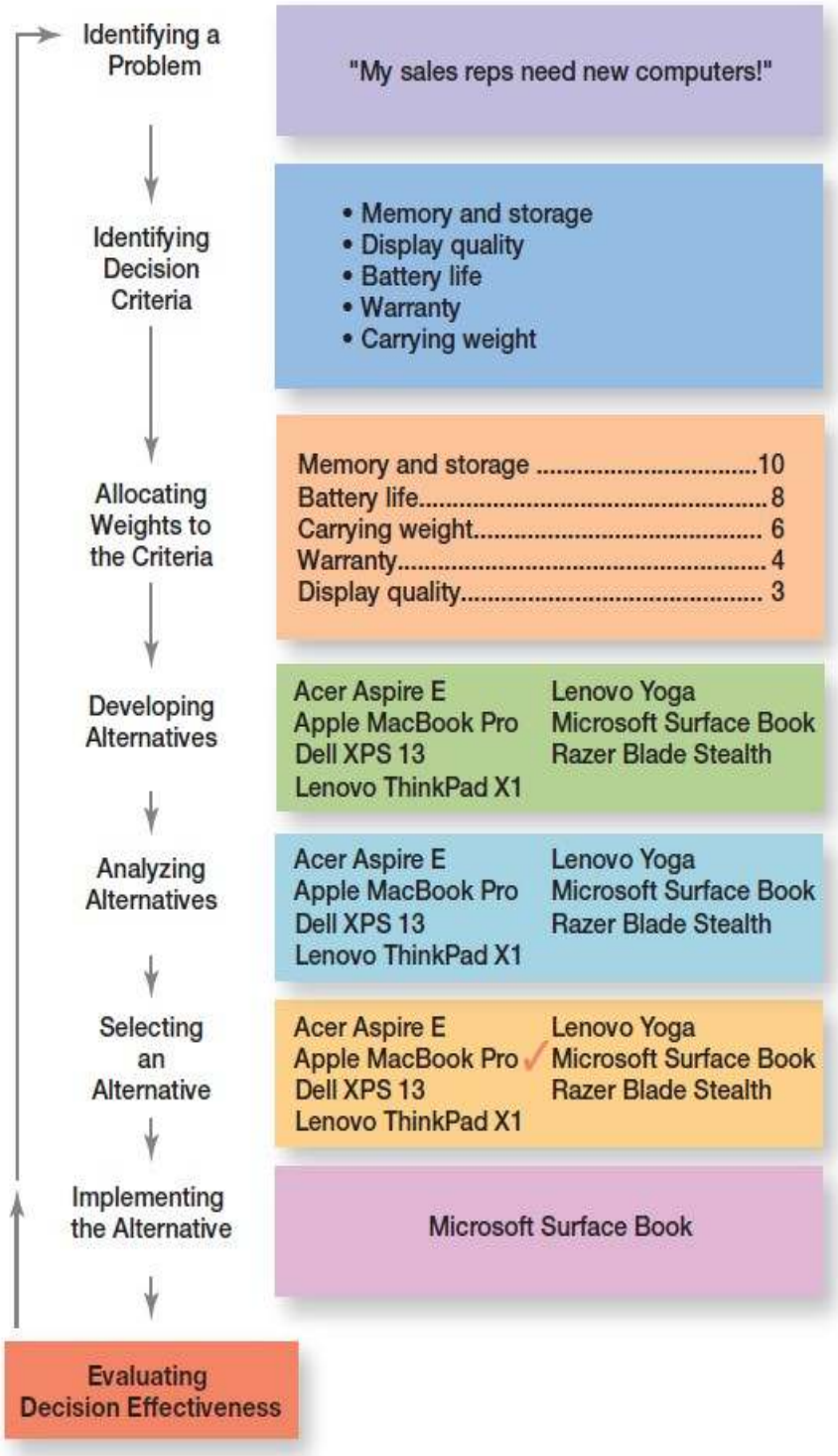
1. Explain why studying management history is important.
2. What early evidence of management practice can you describe?
3. Describe the important contributions made by the classical theorists.
4. What did the early advocates of OB contribute to our understanding of management?
5. Why were the Hawthorne Studies so critical to management history?
6. What kind of workplace would Henri Fayol create? How about Mary Parker Follett? How about Frederick W. Taylor?
7. Explain what the quantitative approach has contributed to the field of management.
8. Describe total quality management.
9. How do systems theory and the contingency approach make managers better at what they do?
10. How do societal trends influence the practice of management? What are the implications for someone studying management?

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CHAPTER (2)

Making Decisions

2.1 THE decision-making process:



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2.2 APPROACHES to decision making



Rationality

- **Rational decision making;** that is, they'll make logical and consistent choices to maximize value.
- **ASSUMPTIONS OF RATIONALITY,** A rational decision maker would be fully objective and logical. The problem faced would be clear and unambiguous, and the decision maker would have a clear and specific goal and know all possible alternatives and consequences. Finally, making decisions rationally would consistently lead to selecting the alternative that maximizes the likelihood of achieving that goal. These assumptions apply to any decision—personal or managerial. However, for managerial decision making, we need to add one additional assumption—decisions are made in the best interests of the organization. These assumptions of rationality aren't very realistic. Managers don't always act rationally.

Bounded Rationality

- **bounded rationality,** which says that managers make decisions rationally but are limited (bounded) by their ability to process information.
- Decision making that's rational but limited (bounded) by an individual's ability to process information.

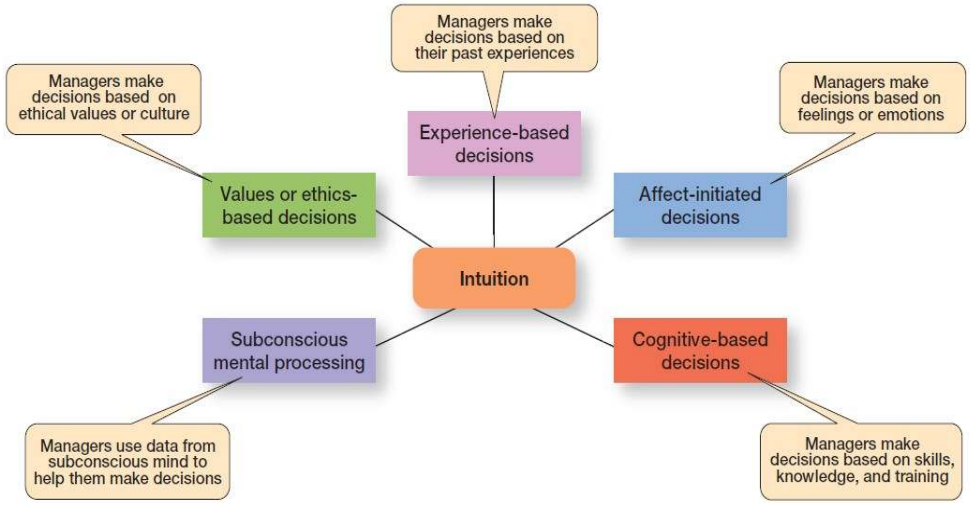
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- Because they can't possibly analyze all information on all alternatives, managers **satisfice** rather than maximize. Solutions that are satisfactory and sufficient or "good enough".

Intuition

- What is **intuitive decision making**? It's making decisions on the basis of experience, feelings, and accumulated judgment.

Exhibit 2-6
What Is Intuition?



Evidence-Based Management

- Evidence-based management (EBMgt); The systematic use of the best available evidence to improve management practice.
- And that evidence might be hard computer data, opinions of experts, or the prior experience of colleagues. In essence, EBMgt is an attempt to operationalize rationality.
- EBMgt is obviously relevant to managerial decision making. Its four essential elements are
  (1) the decision maker's expertise and judgment.
  (2) external evidence that's been evaluated by the decision maker.
  (3) opinions, preferences, and values of those who have a stake in the decision.
  (4) relevant organizational (internal) factors such as context, circumstances, and organizational members.

Crowdsourcing

- Relying on a network of people outside the organization's traditional set of decision makers to solicit ideas via the internet.
- Finding innovative solutions to problems is one of several uses of crowdsourcing in organizations. Crowdsourcing can help managers gather insights from customers, suppliers, or other groups to help make decisions such as what products to develop, where they should invest, or even who to promote. Powered by the collective experiences and ideas of many,

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crowdsourcing can help managers make better-informed decisions by getting diverse input from sources outside the typical management hierarchy.

2.3 TYPES of decisions

Structured Problems and Programmed Decisions

- **Structured problem;** Straightforward, familiar, and easily defined problems.
- **programmed decision;** A repetitive decision that can be handled by a routine approach.
  (1) **Procedure:** A series of sequential steps used to respond to a well-structured problem. The only difficulty is identifying the problem.
  (2) **Rule;** An explicit statement that tells managers what can or cannot be done. Rules are frequently used because they're simple to follow and ensure consistency.
  (3) **Policy;** A guideline for making decisions. In contrast to a rule, a policy establishes general parameters for the decision maker rather than specifically stating what should or should not be done. Policies typically contain an ambiguous term that leaves interpretation up to the decision maker. Here are some sample policy statements:
  • The customer always comes first and should always be ***satisfied***.
  • We promote from within, ***whenever possible***.
  • Employee wages shall be ***competitive*** within community standards.

Unstructured Problems and Nonprogrammed Decisions

- **unstructured problems;** Problems that are new or unusual and for which information is ambiguous or incomplete.
- **nonprogrammed decisions;** Unique and nonrecurring decisions that require a custom-made solution.

Characteristic	Programmed Decisions	Nonprogrammed Decisions
Type of problem	Structured	Unstructured
Managerial level	Lower levels	Upper levels
Frequency	Repetitive, routine	New, unusual
Information	Readily available	Ambiguous or incomplete
Goals	Clear, specific	Vague
Time frame for solution	Short	Relatively long
Solution relies on. . .	Procedures, rules, policies	Judgment and creativity

DECISION-MAKING styles

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